

POWER TRAIN

Rajni Hasija, who was CMD of IRCTC for a little over two years, spearheaded the PSU's turnaround post Covid and believes train tourism will remain a favourite

By **Surabhi**

► **WHEN RAJNI HASIJA** took additional charge as the Chairperson and Managing Director of the Indian Railway Catering and Tourism Corporation (IRCTC) in February 2021, the public sector undertaking (PSU) was reeling from the body blow of the pandemic like other entities in the travel and tourism sector.

No stranger to the IRCTC, she had served two terms at the PSU in the capacity of Group General Manager, handling the IT business segment, and being overall in-charge of an entire zone. She also played a pioneering role in the inception and development of the internet ticketing site of the railways, www.irctc.co.in.

But those stints did not prepare her for the unprecedented challenges facing IRCTC—which focusses on rail ticketing, catering, tourism, and bottled water product Rail Neer—in 2021. “When I signed my first balance sheet as CMD, the total revenue from operations had fallen to ₹783.05 crore in FY21 from ₹2,264.31 crore in FY20, due to the pandemic. But we took it as a challenge, and the IRCTC team worked upon it, and the next two balance sheets were very good and [showed] remarkable performance,” recalls Hasija, who superannuated on May 31, 2023, after holding additional charge as CMD of the PSU for a little more than two years. She was also Director (Tourism and Marketing) at IRCTC for five years.

The recovery was remarkable. IRCTC posted an 88.5% jump in its revenue from operations to ₹3,541.47 crore in FY23, the highest ever, compared with ₹1,878.57 crore in FY22. Net profit also jumped 52.5% year-on-year to ₹1,005.88 crore. The key contributor to revenue in FY23 was the catering business with 41.69%, followed by e-ticketing at 33.83%, tourism at 15.98%, and Rail Neer at 8.5%. Return on equity in FY23 was a solid 46%.

Hasija, winner in the Travel category of the BT-PwC India's Best CEOs ranking, highlights that by the end of FY23, all business segments had been restored to pre-Covid levels and were turning a profit.

For the uninitiated, the scale of operations of IRCTC is gigantic, despite having just 2,229 employees. As the only entity authorised to provide railway tickets online, catering services to railways, and packaged drinking water at railway stations and on trains in India, IRCTC served over 7.7 million passengers in FY23, with 6.12 million daily logins and an average of 1.18 million tickets booked daily. From the 891 pairs of trains it catered to pre-Covid, it now caters to 1,284 trains.

As many as 14.8 million meals were booked on its e-catering platform in FY23, and it was present in over 474 trains equipped with pantry cars and 713 trains under

Travel RAJNI HASIJA FORMER CMD, IRCTC

Revenue from operations	FY23	3,541.5
	9MFY24	3,115.4
Profit before tax	FY23	1,354
	9MFY24	1,114
Profit after tax	FY23	1,005.9
	9MFY24	826.9
	FY23 RoE (%)	46.26
	Market Cap	77,172

● Data is on a standalone basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023

● M-cap as of February 23, 2024

● **Source** ACE Equity, BSE